

Subject: **Law**

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Paper : **Judicial Process and Administration**

Module : **Legal Development through the Judicial Process
(Stare Decisis and the structure of precedence)**

Module Details

Subject Name:	Law
Paper Name:	Judicial Process and Administration
Module Name:	Legal Development through Judicial Process
Module ID:	JP/LAW/05/Q-I
Pre-requisites:	The candidate should have a general understanding of Constitutional law and the way justice is delivered. It is preferable, but not necessary to be able to understand the importance of case law and the effect that case law can have on the
Objectives:	To understand how judicial process leads to development in and of law.
Keywords:	<i>Stare Decisis</i> , Precedent, <i>Sub-Silentio</i> , <i>Per-Incuriam</i> , Article 141, Article 142, Article 143, Constitution of India.

QUADRANT-I (E-TEXT)

LEGAL DEVELOPMENTS THROUGH JUDICIAL PROCESS

1. INTRODUCTION

Judicial process refers to the process by which the legal system and primarily courts, enforce law while deciding disputes that are brought before them. The courts play a crucial role in interpreting the law and applying them to specific circumstances. This is particularly useful when a law can be subject to multiple interpretations or when the law seems to be out of tune with the requirements of society. In these situations, the Supreme Court as the guardian of the Constitution, can test the validity of laws and apply them in a manner so as to do complete justice. This role of the court is enhanced by the fact that India follows the common law system, similar to the United Kingdom, where courts play a significant role in declaring and determining the substance and content of the law. While the United Kingdom has an unwritten constitution, India has a written constitution which specifically provides for fundamental rights under Part III. The Supreme Court has power to protect these rights and give the final pronouncement on substantial questions of law.

This module will deal with the various doctrines and tools used by the courts when they interpret the law, such as the doctrine of *stare decisis* and *binding precedent*. It will also discuss the role played by the Supreme Court in developing law and protecting fundamental rights by understanding the scope of articles 141, 142 and 143 of the Constitution.

LEARNING OUTCOME

The aims of this module are:

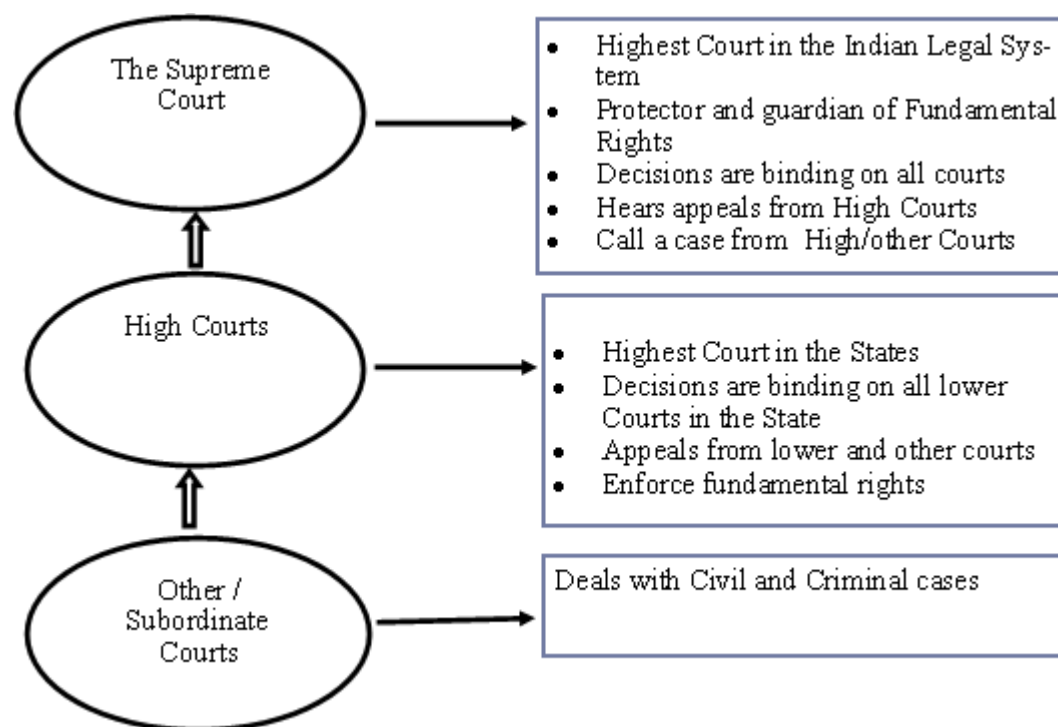
- **Comprehension how the doctrine of stare decisis and judicial precedent work,**
- **Analysis of article 141 of the Constitution, which deals with the doctrine of stare decisis,**
- **Study of article 142 of the Constitution, which deals with the power of the Supreme Court to do complete justice, and**
- **Examination of article 143 of the Constitution, which deals with the power of the Supreme Court to answer special reference questions presented to it by the President.**

2. DOCTRINE OF STARE DECISIS

The doctrine of stare decisis was defined by the Supreme Court in *Shanker Raju v Union of India*.¹ The doctrine is expressed in the maxim “*stare decisis et non quieta movere*”, which means “to stand by decisions and not to disturb what is settled. The rationale behind this doctrine is to allow for certainty and consistency in law. Further, in the absence of stare decisis, litigants would keep appealing or re-agitating every case/decision with the hope of different outcome, even though the issue in question has already been decided by higher courts. A departure from this doctrine should only be made in extraordinary circumstances, allowing for organic development of the law.

The doctrine of stare decisis works in accordance with the hierarchical structure of courts in India, and is in consonance with the doctrine of binding precedent, whereby decisions of higher courts are binding on lower courts.

Hierarchy of courts in India:



¹ (2011) 2 SCC 132.

2.1 Basis of the Doctrine: Article 141

Under article 141 of the Constitution,² the law declared by the Supreme Court is the law of the land and is binding on all lower courts. The text of the article refers to declaration of law, and not enactment, thereby decisions of the Supreme Court are not statutory enactments. However, the Supreme Court has the power to alter existing laws while interpreting them. In cases of a divided decision, it is only the decision of the majority that is binding, irrespective of whether the judges who gave the majority opinion did so due to differing reasons.

It is important to note that only the *ratio decidendi* is binding and not the *obiter dicta*. The obiter is an observation or legal suggestion by the court, not arising in a manner so as to require a decision by the court. Obiter does still have persuasive value before a court. Thus, only the finding of the court on specific issues raised and not its general observations can be considered as law 'declared' by the Supreme Court. In *Ram Prasad Saruna v Mani Kumar Subba*,³ it was held that decision is available as a precedent only if it decides a question of law. While determining a dispute if a decision has 'declared' law, the judgment of the Court has to be read in the context of questions which arose for consideration in the case in which the judgment was delivered.

A decision which is not expressed and not founded on reasons, nor proceeded on consideration of issue, cannot be deemed to be a law declared to have binding effect as is contemplated by article 141. Any declaration or conclusion arrived at without application of mind or proceeded without any reason cannot be deemed to be declaration of law or authority of a general nature binding as a precedent.⁴ When the Supreme Court proceeds on the basis of a concession, the decision cannot be a binding precedent and cannot be held to be a law declared under article 141.⁵ Further, orders made with the consent of the parties and with the reservation that the same should not be treated as precedent, cannot have a binding effect under article 141 as law declared.⁶

²The Constitution of India 1950.

³ (2003) 1 SCC 289.

⁴*Arnit Das v State of Bihar* (2000) 5 SCC 488.

⁵*Kulwant Kaur and others v Gurdial Singh Mann by Lrs* (2001) 4 SCC 262.

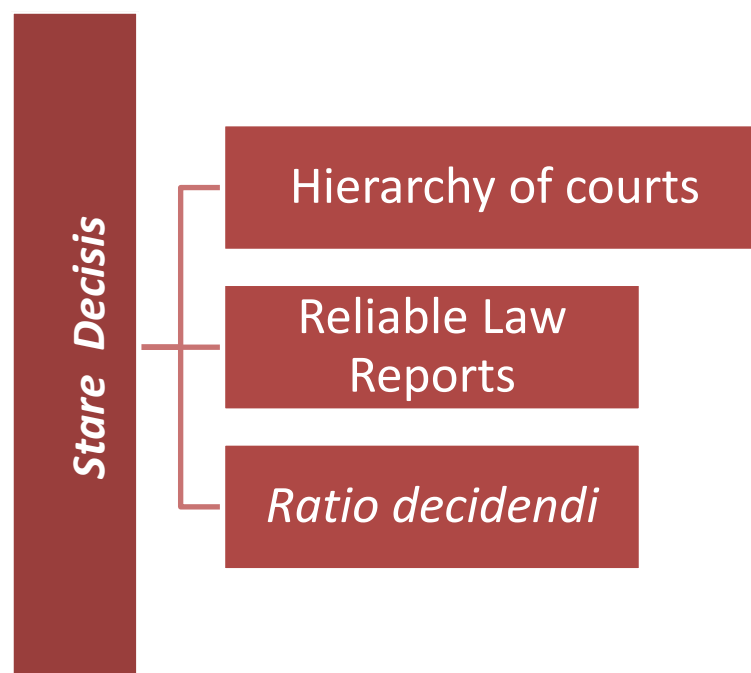
⁶*Municipal Corporation of Delhi v Gurnam Kaur* (1989) 1 SCC 101.

A judgment of the High Court which refuses to follow the decision and directions of the Supreme Court or seeks to revive a decision of the High Court which had been set aside by the Supreme Court is a nullity.⁷

Decisions of a larger bench will prevail over previous decisions made by a smaller bench.⁸ Thus, decisions of 3 judge benches will prevail over decisions of 2 judge benches. Where the earlier decision is given by a bench of equal number of judges, in case of a contrary opinion, the later bench cannot overrule the earlier decision. It should refer the matter to a larger bench.

In *Shenoy & Co v Commercial Tax Officer*,⁹ the court considered the scope of article 141 when a decision of the Supreme Court has not been appealed against. The court held that a law of the land would govern everybody, and the non-consideration of the principle of *res judicata* will not be a ground to reconsider a judgment of the Supreme Court.

Conditions for *Stare Decisis* (Doctrine of Precedent)



2.2 Prospective Overruling, *Per-incuriam* and Decisions *Sub-silentio*

⁷(1984) 2 SCC 402.

⁸*SH Rangappa v State of Karnataka* (2002) 1 SCC 538.

⁹1985 AIR SC 621.

The doctrine of prospective overruling refers to cases where the decision specifically mentions that the ratio is applicable only to future situations. Applicability of this doctrine is left to the discretion of the court.

Decisions rendered *per incuriam* are not binding on lower courts. Per incuriam decisions are those made without due regard or in ignorance of an existing statute or binding authority.¹⁰

A decision that is *sub-silentio* is also not binding on lower courts. A decision is sub-silentio if the point of law was not perceived by the court and a decision in that regard was not express and accompanied with reasons. When there is no conscious consideration of an issue by the court, such a decision cannot be contemplated to be included within the scope of article 141.

The Court may consciously decide in favour of one party because of point 'A', which it considers and pronounces upon. It may be shown, however, that logically the court should not have decided in favour of the particular party unless it also decided point 'B' in his favour; but point 'B' was not argued or considered by the court. In such circumstances, although point 'B' was logically involved in the facts and although the case had a specific outcome, the decision is not an authority on point 'B'. Point B'' is said to pass sub-silentio.

2.3 Two-judge benches and Article 141

Mr Fail Nariman has proposed that the decisions of 2 judge benches should be considered as 'law' for the purpose of article 141.¹¹ According to this proposal, the decisions of 2 judge benches should be binding on the parties to the case, but not be considered as binding precedent. The constitution of 2 judge benches is problematic due to the stark difference and contradictions in the decisions of multiple such 2 judge benches. Thus, removing the precedential value of two judge benches will reduce problems of inconsistency in Supreme Court decisions. Further, the court will not have to conduct a lengthy process of analysing two contradictory judgments and deciding which judgement to follow. Since the contradictory 2 judge bench decisions will not have binding value, the court will be free to adopt any of those decisions.

The drawback of such a move is that it may result in more contradictory judgments as 2 judge bench decisions will no longer be binding. It could also result in wastage of judicial time as courts may have to keep deciding on matters that have been decided by previous 2 judge benches, due to the lack of binding value.

3. ARTICLE 142 OF THE CONSTITUTION

¹⁰A-One Granites v State of UP (2001)3 SCC 537.

¹¹Arghya Sen gupta, 'Inconsistent Decisions' *The Frontline* (May 3 2013).

The provision is an important source for the development of law by the Supreme Court. Article 142 of the Constitution empowers the Supreme Court to pass such decree or order as may be necessary for doing complete justice in any matter pending before it. This provision also empowers the Supreme Court issue directions where none already exist and such directions shall be binding till such time as new rules are enacted by the legislature on the subject.

The object of article 142(1) is that the Supreme Court must not be obliged to depend on the executive for the enforcement of its decrees and orders. Such dependence would violate the principles of independence of the judiciary and separation of powers, both of which are held to constitute the basic structure of the Constitution.¹² The scope of article 142 and its interaction with statutory law has been a point of contention.

3.1 Broad Interpretation of Article 142

A broad interpretation of article 142 implies that it is a source of substantive power for the Supreme Court to fill gaps where there is a vacuum in law. In *Delhi Judicial Service Assn v State of Gujarat*¹³ it was observed that the power of the Supreme Court under article 142 to do ‘complete justice’ was a part of the basic structure of the Constitution and thereby entirely of different level and quality. Any prohibition or restriction contained in ordinary laws cannot act as a limitation on the constitutional power of this Court.

In *Union Carbide v Union of India*,¹⁴ the Supreme Court stated that prohibitions or limitations or provisions contained in ordinary law cannot, *ipso facto*, act as prohibitions or limitations on the constitutional powers under article 142. In exercising its powers under article 142 the Supreme Court will take note of the express prohibitions in any substantive statutory provision based on some fundamental principles of public policy and regulate the exercise of its power and discretion accordingly. Thus, the Supreme Court clarified that it does not exercise its powers under article 142 in direct confrontation with statutory law.

3.2 Narrow Interpretation of Article 142

A restrictive approach of article 142 stems from the argument that it only provides procedural powers and not substantive powers. This interpretation is based on article 142(2). The Supreme Court is empowered to do the following under article 142(2):

¹²R Prakash, ‘Complete Justice under Article 142’(2001) 7 SCC (Jour) 14.

¹³ (1991) 4 SCC 406.

¹⁴ (1991) 4 SCC 584.

- i. Secure the attendance of persons before it,
- ii. Call for discovery and production of documents,
- iii. Investigate and punish for contempt of itself.

The actions mentioned in article 142(2) are essentially procedural and hence, tend to point towards the restrictive argument. While the third power of punishing for contempt appears to have substantive elements, article 142 is actually supplementing article 129 which provides the substantive basis for punishment for contempt. Further, the wording of article 142 is similar to the inherent powers granted to courts under section 151 of the Civil Procedure Code and section 482 of the Criminal Procedure Code. Since the powers in the civil and criminal codes is limited to procedural aspect, it is possible to argue that the scope of article 142 is also procedural.

In *Prem Chand Garg v Excise Comm UP Allahabad*,¹⁵ the Supreme Court while interpreting article 142 stated that the purpose of this article was to allow the court to take procedural actions like admitting additional evidence, adding parties to proceedings etc., and allow the court to depart from procedural requirements in order to do complete justice. This further indicates that the power under article 142 is restricted to procedural matters.

3.3 Harmonising Approach

In order to deal with the competing broad and narrow views of the scope of Article 142, the Supreme Court has adopted a harmonising approach. In *Bonkya v State of Maharashtra*¹⁶ it was held that the amplitude of powers available to the Supreme Court under article 142(1) of the Constitution of India is not normally conditioned by any statutory provision. However, it cannot be lost sight of that the Court exercises jurisdiction under article 142 of the Constitution with a view to do justice between the parties but not in disregard of the relevant statutory provisions.

In *Supreme Court Bar Assn v Union of India*,¹⁷ the Supreme Court cautioned against an unbridled power under article 142. The Court stated that while the power under article 142 was not controlled by statutory provisions, the power was not meant to be exercised in direct conflict with a statutes dealing expressly with a particular subject. The court clarified in *LaxmidasMorarji (Dead) by LrsvBehroseDarabMadan*¹⁸ that the power under Article 142 is to be used sparingly in cases which cannot be effectively and appropriately tackled by the existing

¹⁵ AIR 1963 SC 996.

¹⁶ (1995) 6 SCC 447.

¹⁷ (1998) 4 SCC 409.

¹⁸ (2009) 10 SCC 425.

provisions of law or when the existing provisions of law cannot bring about complete justice between the parties.

Thus, the powers under article 142 remain largely undefined. In several cases, the Supreme Court has stated that its powers under article 142 are not restricted by statutory provisions. However, at the same time, the court has stated that the very nature of the power under article 142 is such that the Court must impose restrictions on itself and not use it in situations where it contradicts with statutory law.

4. ARTICLE 143 OF THE CONSTITUTION

Under article 143(1) of the Constitution, the President can refer a question of general public importance to the Supreme Court. Under article 143(1), the Supreme Court is not bound to decide on the question referred, neither is the President bound by the opinion of the Supreme Court. In *In Re: The Kerala Education Bill*¹⁹ the Supreme Court observed that opinion on a reference under article 143(1) may be declined in a proper case and for good reasons. Some of the reasons for refusal to decide on a special reference are if the court decides that it is improper, inadvisable and undesirable; or the questions formulated have purely socio-economic or political reasons, with no relation whatsoever with provisions of the Constitution; or are incapable of being answered; or would not serve any purpose; or there is authoritative pronouncement of this Court which has already decided the question referred. The discretion of the Supreme Court does not extend to determining the existence of *malafide* behind the reference. However, in all but one of the special references made to the Supreme Court, an opinion has been delivered. The only case where the Supreme Court refused a reference was in *Union of India v M Ismail Faruqi & Ors*,²⁰ where the court stated that reference did not serve any Constitutional purpose.

No specific format has been provided for framing of the reference. In Special Reference No. 1 of 1964²¹ the Supreme Court observed that no specific pattern had been followed in all the presidential references before the court and that this was consistent with the broad scope of article 143. A decision or opinion of the court made by way of special reference can be reviewed only under article 137 or a Curative Petition.²²

¹⁹1959 1 SCR 995.

²⁰(1994) 6 SCC 360.

²¹AIR 1965 SC 745.

²²Abhisek Dash Choudhury, 'Review Jurisdiction of Supreme Court of India: Article 137' <<http://ssrn.com/abstract=2169967>> accessed 14 November 2014.

In *Re: Special Reference No.1 of 2012*,²³ the court identified three general principles to determine the scope of article 143:

- i. a reference should not be vague, general and undefined,
- ii. the Court can go through the written briefs and arguments to narrow down the legal controversies, and
- iii. when the question becomes unspecific and incomprehensible, the risk of returning the reference unanswered arises.

According to *In Re: The Special Courts Bill, 1978*,²⁴ the reference has to be for specific questions. However, it is not necessary that this question has actually arisen – the President can send a reference even at an anterior stage if convinced that the question may likely arise. It is for the satisfaction of the President to determine if a question under article 143 has arisen. However, the President can refer a question of law only when this Court has not decided it. While dealing with a special reference, the court does not sit as a court of appeal from its previous decisions. In case the court decides to deviate from any of previous decisions, it does so in exercise of its inherent power and only in exceptional circumstances

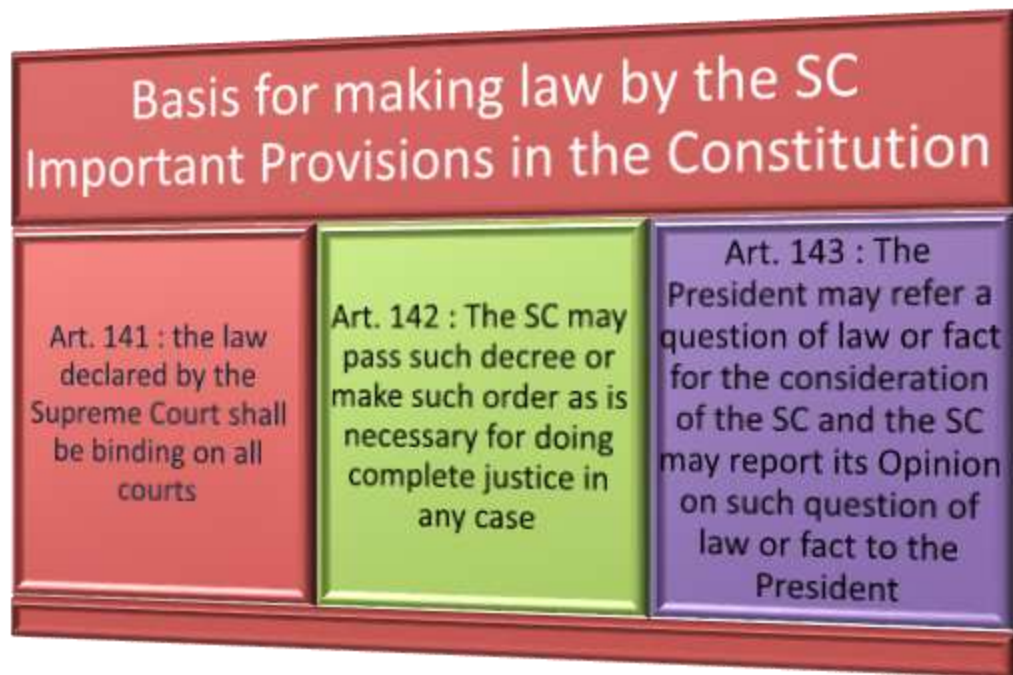
In the *2G spectrum*, a controversy arose regarding the difference between a Presidential reference under article 143 and an application for review of a judgment of the Supreme Court. The court stated that a review was completely different from a reference under article 143. The court stated that a review is *lis* specific and relates to the rights of the parties, whereas a reference is answered keeping in view the terms of the reference and the requirements of article 143 of the Constitution. Therefore, merely because a review had been filed and withdrawn, the same would not be a ground for refusal of a reference.

In this regard, the court stated²⁵ that while exercising jurisdiction under article 143(1) of the Constitution the Supreme Court can look into an earlier decision for the purpose of whether the contentions urged in the previous decision raised a general issue or not; whether it was necessary to consider the larger issue that did not arise; and whether a general proposition had been laid down.

²³ (2012) 3 SCC 1.

²⁴ AIR 1979 SC 478.

²⁵ (2012) 3 SCC 1.



5. SUMMARY

The aim of this module was to acquaint the reader with the various mechanisms that the court can use to develop the law while deciding a dispute brought before it. Using these tools, the court can shape the law and pave the way for major legal developments. The most crucial powers for legal development come from articles 141, 142 and 143 of the Constitution. The Supreme Court being the guardian of the Constitution and specifically, the fundamental rights enshrined in Part III of the Constitution has the duty to interpret the law in accordance with the Constitution. The Supreme Court can thus take actions which other courts cannot take. The Court does so in furtherance of its role as the final and most authoritative interpreter of the Constitution. Hence, these tools for legal development through judicial process form a crucial point of study.